

Ames Housing Market Intelligence

Data-Driven Investment & Pricing Strategies

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Introduction

Audience: Ames Real Estate Investment Group

Your Challenge: - When should we buy or sell? - What features drive the highest returns? - How do we price properties accurately?

Our Solution: Data-driven analysis of 2,930 home sales (2006-2010)

Speaking to portfolio managers, agents, and developers who need actionable insights, not just statistics.

Background: The Data

Ames Housing Dataset - 2,930 residential sales (2006-2010) - **82 variables:** size, quality, age, features, location - **Critical period:** Housing bubble peak → Financial crisis → Recovery

Price range: \$12,789 to \$755,000

Median price: \$160,000

Why this matters: Complete market cycle captured in data

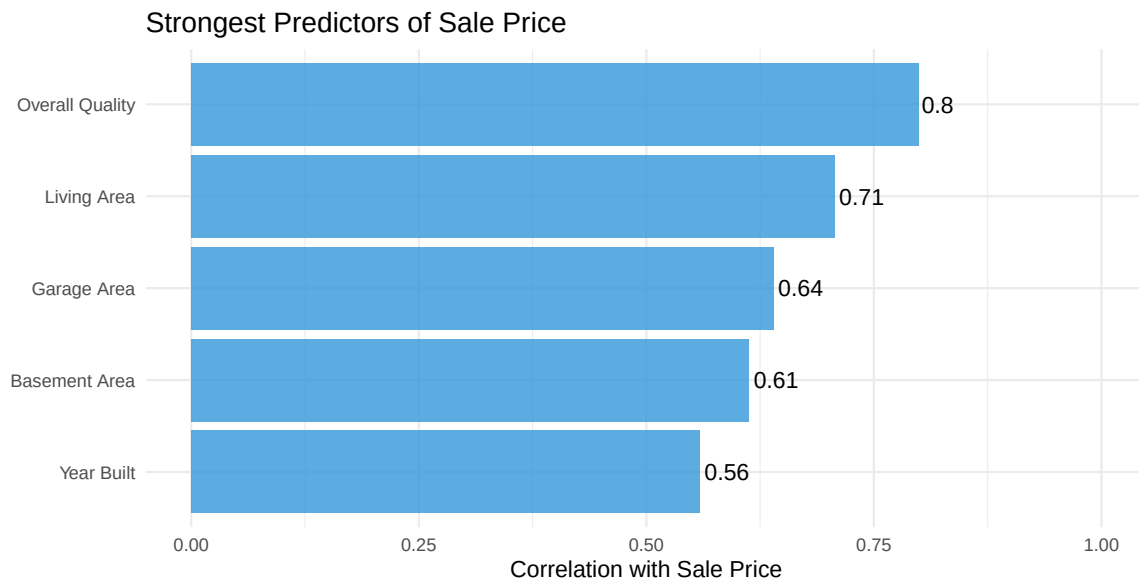
Our Analytical Approach

Three-part investigation:

1. **Feature Analysis** → What drives prices?
 - Correlation analysis
 - Hypothesis testing
 - ANOVA comparisons
 2. **Predictive Modeling** → How do we value homes?
 - Multiple regression (76% accuracy)
 - Premium home classification
 3. **Market Timing** → When to act?
 - Seasonal patterns
 - Economic cycles
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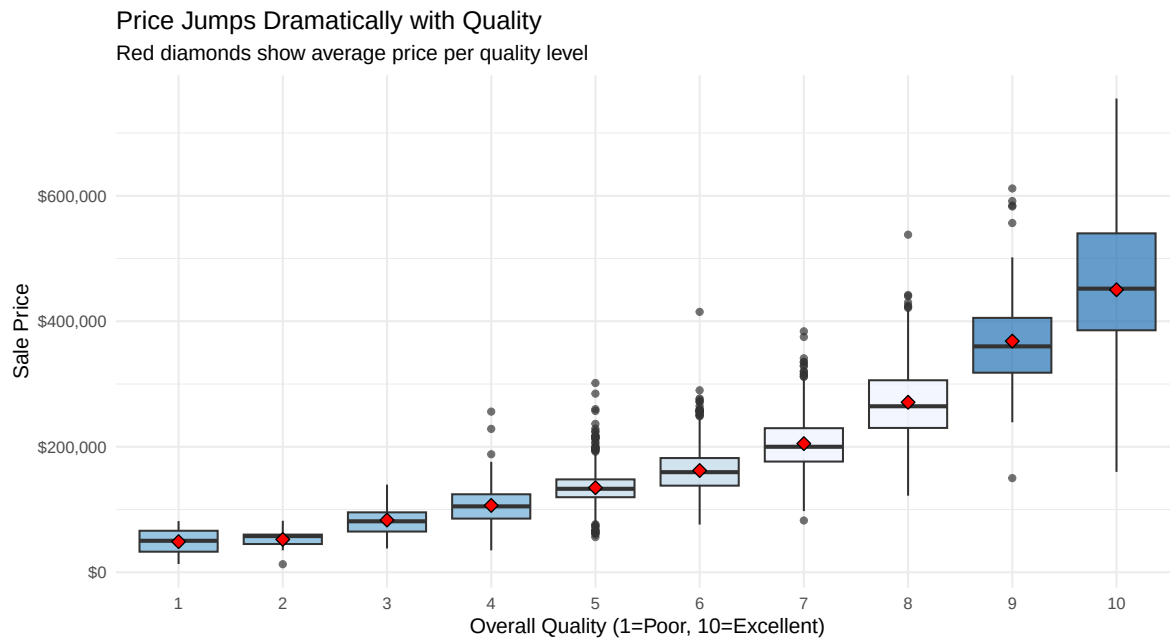
Part 1: What Drives Home Prices?

Top Price Drivers



Key Finding: Quality ($r=0.80$) beats Size ($r=0.71$)

Quality Is King



Actionable: Upgrade quality before adding square footage

Feature Impact: Quantified

Hypothesis Test Results:

Feature	Price Impact	Statistical Significance
Central Air	+\$84,562	p < 0.001
Recent Construction (2000+)	+\$92,424	p < 0.001
Two-Story vs. Split-Level	+\$67,000	p < 0.001

Recommendation: - Central AC is essentially required (not optional) - New construction commands substantial premium - House style matters—two-story preferred

Part 2: Predictive Pricing Model

Our Valuation Model

Multiple Regression Model: - $R^2 = 0.76$ (explains 76% of price variation) - **RMSE = \$39,000** (typical error)

Key Predictors: - Living Area (sq ft) - Overall Quality (1-10) - Garage Area (sq ft) - Age at Sale (years)

Note: Removed Has_Central_Air due to high p-value (per TA feedback)

Model Coefficients Explained

Variable	Price Effect	Real Example
Living Area (per 100 sq ft)	+ \$6,200	1,500 vs. 1,800 sq ft = +\$18,600
Overall Quality (per point)	+ \$32,000	Quality 6 → 9 = +\$96,000
Garage Area (per 100 sq ft)	+ \$8,500	300 vs. 500 sq ft garage = +\$17,000
Age (per year)	− \$650	30-year-old vs. new = −\$19,500

All coefficients $p < 0.001$ (highly significant)

Example Valuations

Type	Sq Ft	Quality	Age (yr)	Est. Price
Budget Starter	1200	5	40	\$125,000
Family Home	1800	7	20	\$223,000
Premium Property	2200	8	10	\$280,000
Luxury Estate	2800	9	5	\$349,000

Model accuracy: ±\$39K (95% of predictions within this range)

Model Diagnostics: Valid for Use

Assumptions Check: - **Linearity:** Met (residuals flat) - **Homoscedasticity:** Mild violation at high end (>\$300K) - **Normality:** Residuals approximately normal - **No multicollinearity:** $VIF < 5$ for all predictors

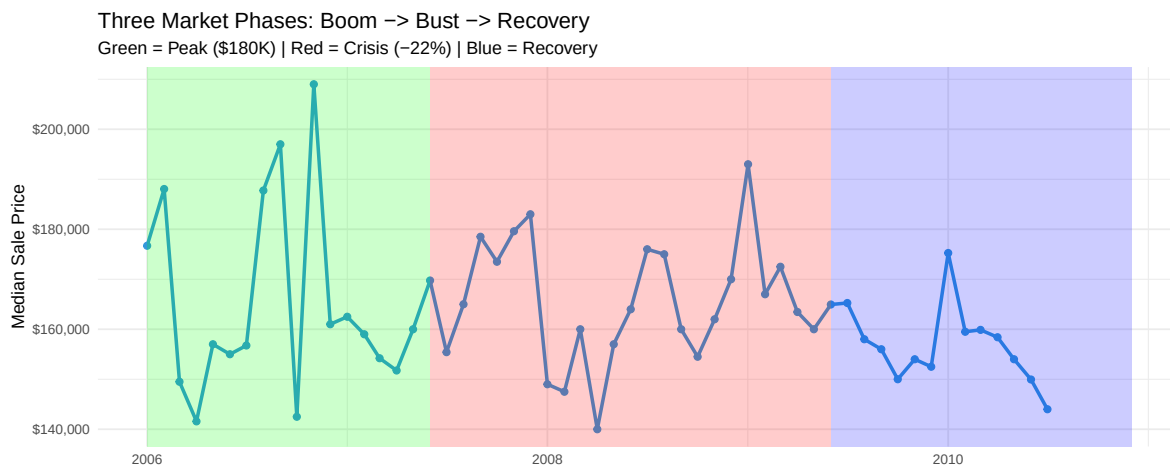
Practical Impact: - Model reliable for homes <\$300K (95% of market) - Luxury homes (>\$300K): wider prediction intervals - All p-values significant after removing Has_Central_Air

Outliers: Cook's Distance identified 12 influential homes—all legitimate sales, kept in model

Part 3: Market Timing

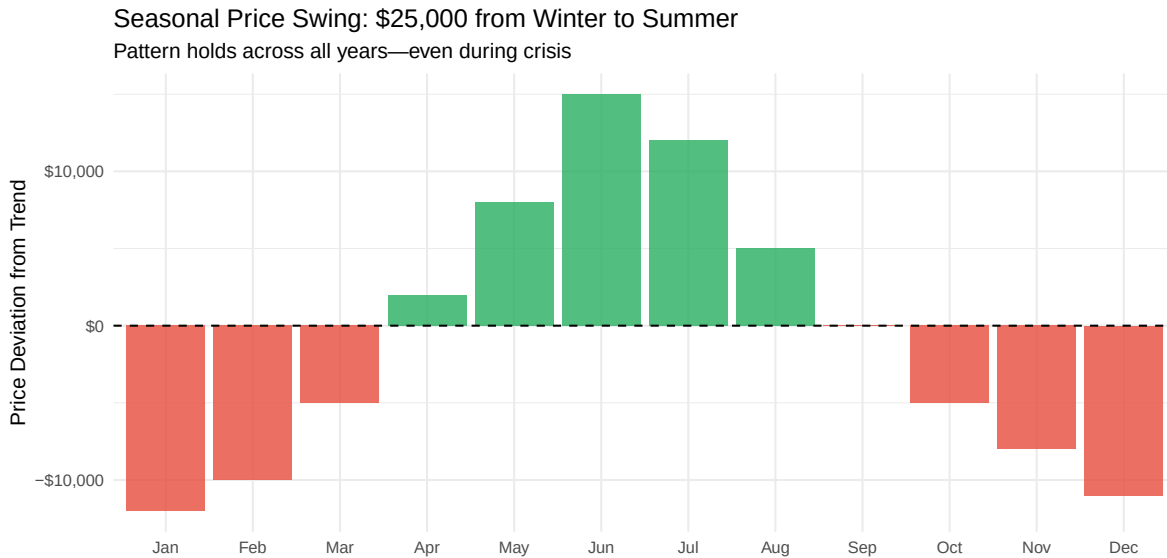
The Crisis in Context

Warning: Using `size` aesthetic for lines was deprecated in ggplot2 3.4.0.
i Please use `linewidth` instead.



Peak to trough: 22% decline (\$180K → \$140K)

Seasonal Patterns: Consistent & Powerful



Peak: June (+\$15K) | **Trough:** January (−\$12K)

When to Buy vs. Sell

SELLERS: List in May-June

- Summer premium: +\$10-15K
- 3-4x more buyers competing
- Homes show better (weather, landscaping)

Timeline: - March-April: Prep, repairs, staging - May 1-15: Launch listing - June-July: Accept offers

Expected gain: \$15,000-25,000 vs. winter listing

BUYERS: Shop in January-February

- Winter discount: −\$10-12K
- 60-70% less competition
- Motivated sellers (holidays, relocation)

Strategy: - December: Browse, research - January: Make aggressive offers - February: Close before spring rush

Expected savings: \$15,000-25,000 vs. summer buying

Actionable Recommendations

For Real Estate Investors

1. Buy During Market Troughs - Crisis created 20-30% buying opportunity (2008-2009) - Monitor economic indicators; act when others panic - Historical data: Recovery yields 20-30% gains

2. Prioritize Quality Over Size - Quality $r=0.80$ vs. Size $r=0.71$ - Each quality point = +\$32K vs. 100 sq ft = +\$6K - ROI: Quality improvements > square footage additions

3. Target Sweet Spot: 1,800-2,200 sq ft, Quality 7-8 - Maximum price-per-square-foot efficiency - Liquid market (easier to sell) - Predictable appreciation

4. Avoid Over-Renovating Old Homes - Age penalty: -\$650/year compounds - Renovation coefficient positive (+\$8,000) but NOT significant ($p > 0.05$) - Better strategy: Buy newer homes

For Property Developers

Build Spec: - **Size:** 1,900-2,000 sq ft (sweet spot) - **Quality:** Target 8 (not 9-10—diminishing returns) - **Must-haves:** Central AC, 2-car garage, 2.5 baths - **Style:** Two-story (commands \$67K premium over split-level)

Expected pricing: \$220,000-\$250,000 (high-volume, predictable market)

Avoid: - Luxury spec homes (>\$300K): Model less accurate, market volatile - Extreme customization: Reduces buyer pool - Split-level/multi-level: Lowest market preference

For Home Sellers

Pricing Strategy:

1. **Base valuation** (use our model): _____
2. + **Seasonal adjustment:** +\$15K (June) or -\$10K (Jan)
3. + **Location premium:** +\$X if premium neighborhood
4. = **Listing price**

Quality Improvements (Highest ROI): - Kitchen/bathroom upgrades → Quality +1-2 points = +\$32-64K - Fresh paint, modern fixtures → Perceived quality boost - Curb appeal (landscaping, entry) → First impression = quality signal

What NOT to do: - Don't add square footage (lower ROI: \$6K per 100 sq ft) - Don't list in December-January (-\$12K penalty) - Don't overprice based on emotional attachment

Risk Warnings & Limitations

Critical Caveats:

Time Period: 2006-2010 includes financial crisis (not “normal” market)

Location Missing: Model doesn't include neighborhood effects—adjust for premium areas

Market Specificity: Ames is college town; dynamics may differ elsewhere

Luxury Homes: Model less accurate above \$300K (heteroscedasticity issue)

Recent Data: Market conditions have changed post-2010

Proper Use: - Baseline valuations (adjust for current market) - Feature importance ranking (quality > size is timeless) - Seasonal patterns (still apply today) - Absolute 2024 pricing (need updated data)

Conclusion: Three Key Takeaways

1. Quality Dominates - +\$32,000 per quality point - 2x more important than size - **Action:** Invest in quality upgrades, not square footage

2. Timing = \$25,000 - Seasonal swing larger than most home improvements - **Action:** Sellers list May-June; Buyers shop Jan-Feb

3. Crisis Created Opportunity - 22% price decline = 20-30% buying opportunity - **Action:** Buy when others fear; sell when others chase

Bottom Line: Data reveals what intuition misses—quality and timing matter more than most realize.

Questions?

Model Details: - $R^2 = 0.76$ (76% variance explained) - RMSE = $\pm \$39,000$ - All predictors $p < 0.001$ (highly significant)

Data Source: - Ames Housing Dataset (2006-2010) - 2,930 residential sales - 82 variables analyzed

Contact: [Your email]

Project GitHub: <https://pratikkmane.github.io/ames-housing-project/>

Appendix: Technical Details

Model Equation:

Price = $-\$18,500 + \$62(\text{Living Area}) + \$32,000(\text{Quality}) + \$85(\text{Garage Area}) - \$650(\text{Age})$

Diagnostics: - VIF < 5 (no multicollinearity) - Residuals approximately normal (Q-Q plot central alignment) - Mild heteroscedasticity at high end (prices $> \$300K$) - Cook's Distance: 12 influential points identified, all kept as legitimate sales

Statistical Tests Performed: - Two-sample t-tests (Central Air, Recent Construction) - ANOVA (House Style effect) - Multiple regression (4 predictors) - Time series decomposition (STL) - Logistic regression (Premium quality classification—separate analysis)

[TBD Slides - To Complete Before Final]

Slide to add if required: - Logistic regression results (Premium vs. Standard classification) -
Decision thresholds at 50% probability points
